Investors in training tend to know it's futile to try timing the market and instead use the strategy of dollar cost averaging. Let me explain this further.

How dollar cost averaging works

Imagine three friends. The first friend, Jacob, decided he wanted to save $200 a month and keep it in a high-yield savings account with a 3 per cent interest rate, saving it up to invest when the market drops. Let's say Jacob has been doing this over the last 40 years and ends up having the world's worst timing. In fact, he invests the day before all of the four big crashes, meaning he makes an immediate loss the day after he puts his money in … four times. Poor Jacob.

But let's say Jacob has some sense in him, and he doesn't panic-sell and instead holds on to his investments. By the end of the 40-year period he'll have made $663 594.

Then there's Afia. Afia is like Jacob and wants to time the market. She also saves $200 a month and keeps it in a high-yield (3 per cent) savings account. She ends up having the best timing in the market and somehow ends up investing in the lowest point of the four biggest crashes.

Afia ends up with a portfolio worth $956 838.

Now there is a third friend, Nina. She decides to not worry about timing the market and simply invests $200 every month into the same fund, through all the highs and lows.

Nina ends up with $1.38 million at the end of 40 years. How? It's the beauty of dollar cost averaging: that you ride out the highs and lows of the market, and you reap the rewards of compound interest. See figure 9.2 (overleaf) for a graph of all three different investment approaches.